www.tntextbooks.in

(v) does not prohibit any invitation to subscribe for any shares or debentures of the company.

(vi) does not prohibit any invitation or acceptance of deposits. (The name of public company should be suffixed with ltd. Ex.National Aluminium company Limited, Chennai)

3. Classification of Companies on the basis of Liability

a. Company Limited by Shares

A company limited by shares is a company in which the liability of its members is limited by its Memorandum to the amount (if any) unpaid on the shares respectively held by them. The companies limited by shares may be either public companies or private companies. If a member has paid the full amount of shares, then his liability shall be nil.

Thus two main features of a company limited by shares are as follows:

(i) The liability of its members is limited to the amount (if any) remaining unpaid on the shares held by them.

(ii) Such liability can be enforced either during the lifetime of the company or during the winding up of the company.

b. Company Limited by Guarantee

A company limited by guarantee is a company in which the liability of its members is limited by its Memorandum to such an amount as the members may respectively undertake to contribute to the assets of the company in the event of its being wound up. Such companies are generally formed for the promotion of Commerce, Art, Science, Religion, Charity or any other useful object. The companies limited by guarantee may be either private companies or public companies.

c. Unlimited Company

An unlimited company is a company in which the liability of its members is not limited by its Memorandum. In other words, the liability of members is unlimited i.e., there is no limit on the liability of members. The members of such companies may be required to pay company's losses from their personal property. Because such companies have separate legal entity, its creditors cannot file a suit against the members directly. The creditors will have to apply to the court for the winding up of the company and then the liquidator will direct the members to contribute to the assets of the company to pay off its liabilities.

4. Classification of Companies on the Basis of Control

a. Government Companies

A public enterprise incorporated under the Indian Companies Act, 1956 is called a government company. These companies are owned and managed by the central or the state government. Section 617 of the Companies Act, 1956 defines "Government Companies" as any company in which not less than 51% of the [paid-up share capital] is held by.

1. The Central Government; or
2. Any State Government or Governments; or
3. Partly by the Central Government and partly by one or more State Governments.